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CISI Diploma in Investment Compliance

Regulation and Compliance

Chapter 3 Portal Slides

Knowledge | Skills | Conduct

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Chapter 3 Modules Overview

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Chapter 3 Modules Overview

Chapter summary

- Introduction to market abuse
- Criminal insider dealing offences
- Misleading statements and impressions
- Market abuse: definitions, controls, safe harbours and enforcement
- Market abuse: examples of abusive behaviour
- Disclosure and transparency rules

Chapter summary (cont.)

- The Takeover Code
- The Listing Rules
- The UK Corporate Governance Code
- Environmental, social and governance considerations
- Money laundering
- Terrorist financing
- UK Bribery Act and Data Protection

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Introduction to Market Abuse

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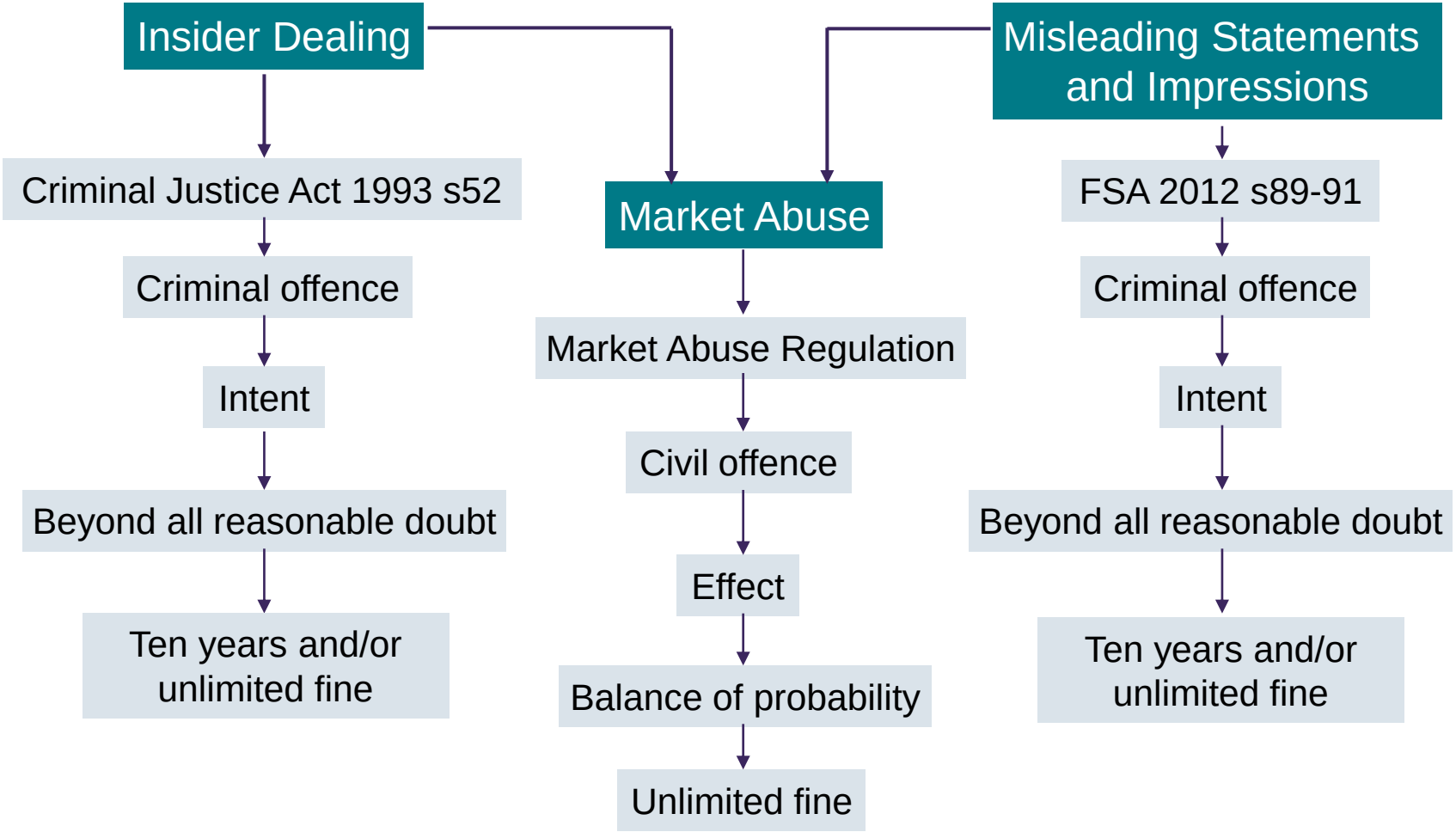
Market Abuse Summary



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Criminal Insider Dealing Offences

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Insider Dealing

(3.3.3) Insider Dealing

What is the **relevant legislation**?

- Criminal Justice Act 1993, ss.52–53 (CJA 1993)

What are the **statutory offences** (s.52, CJA 1993)?

- Dealing
- Encouraging
- Disclosing

Who may commit the statutory offences?

- An individual
- Who has inside information
- As an insider

Insider Dealing

(3.3.3) Insider Dealing

What is **inside information**?

- It relates to:
  - A particular issuer(s)
  - A particular issue
- It is specific or precise
- It has not been **made public**
- It is price-sensitive

How is information **made public?**

- It is published in accordance with the rules of a regulated market
- It is contained in records open to public inspection
- It can be readily acquired by those likely to deal
- It is derived from information which has been made public

Insider Dealing

(3.3.3) Insider Dealing

Who is an **insider**?

- They know it is **inside information**
- They know it is from an **inside source**

What is an **inside source**?

- Access as director/employee/shareholder
- Access via employment/office/profession
- Access (directly or indirectly) from any of the above

Insider Dealing

(3.3.4) Insider Dealing

What **deals** are covered?

- Deals on a regulated market, MTF or OTF
- Deals through (or as) a professional intermediary

Which **financial instruments** are covered?

- Shares/options on shares
- Gilts/corporate bonds
- Warrants
- Depositary receipts
- Futures
- Contracts for difference

Insider Dealing

(3.3.4) Defences to Insider Dealing (s.53 CJA 1993)

What are the **general** defences?

- Dealing offence/encouragement offence:
  - No advantage was expected (did not expect dealing to result in a profit or avoidance of a loss) due to information possessed
  - Would have acted like that anyway, even without the info (e.g. a ‘forced sale’)
  - Reasonable belief that the information had been widely disclosed
- Disclosure offence:
  - Did not expect any dealing to take place due to the disclosure

What are the **special** defences?

- Market maker (acting in good faith in ordinary course of business)
- Stabilisation (if done in terms of EU MAR rules)
- Market information

Insider Dealing

(3.3.4) Insider Dealing

What are the **enforcement procedures**?

- LSE insider dealing group
- FCA investigation possible
- Normal criminal prosecution

Evidence and penalties?

- **Criminal** standard of evidence ('beyond all reasonable doubt')
- Maximum penalty: Ten years in jail/unlimited fine

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Misleading Statements and Impressions

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Misleading Statements and Impressions (FSA 2012)

(3.3.2) Misleading Statements and Impressions

- **Misleading statements** (FSA 2012, s.89)
  - Covers deliberate deceit and recklessness
  - Covers things said and things not said (concealed)
  - Intention: Cause investor to alter their position for the worse, i.e. to enter (or not) investment agreement or to exercise (or not) investor rights
- **Misleading impressions** (FSA 2012, s.90)
  - Act/conduct (e.g. starting a false rumour) intended to:
    - Give a false impression about:
      - Market in investments; or
      - Price/value of investments
- **Criminal penalty**
  - Summary: Six months in jail/£5,000 fine
  - Indictment: Ten years in jail/unlimited fine

Misleading Statements Relating to Benchmarks

(3.3.2) Misleading Statements and Impressions

- **Offence No. 1 (FSA 2012, s.91(1))**

  'A' makes a false or misleading statement to 'B', and:
  - 'A' makes the statement as part of arrangements for setting a benchmark
  - 'A' intends that 'B' should use the statement for the purpose of setting the benchmark and
  - 'A' knows that the statement is false or misleading (or is reckless about it)

- **Offence No. 2 (FSA 2012, s.91(2))**

  Act/conduct by 'C' which creates a false/misleading impression about:
  - Price/value of any investment; or
  - Interest rate appropriate to any transaction; and
  - 'C' intends to create the impression and knows that it is false/misleading (or is reckless about it); and
  - The impression may affect (and 'C' knows that it may affect) the setting of a benchmark

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Market Abuse: Definitions

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Market Abuse

(3.3.2) Market Abuse

[A] CJA 1993, ss.52–53

- Covers ‘insider dealing’ (as defined), i.e. misuse of inside information

[B] FSA 2012, ss.89-91

- Covers ‘misleading statements and misleading impressions’ (as defined), i.e. misrepresentations and misleading the market
  - [A]+[B] are both dealt with in **criminal** courts, using **criminal** standard of evidence (‘beyond all reasonable doubt’)

[C] Market Abuse Regulation (MAR)

- Covers ‘market abuse’ (as defined), i.e. similar to [A]+[B] above
  - [C] is dealt with by **civil** regulator (the FCA), using **civil** standard of evidence (‘balance of probability’)

Scope of Market Abuse Regime

(3.3.1) UK Market Abuse Regulation (MAR)

Behaviour covered by MAR

- Insider dealing
- Unlawful disclosure of inside information
- Market manipulation

Financial instruments covered by MAR

Those admitted to trading (or application for admission made) on:

- Regulated Market (RM) (e.g. main market of LSE)
- Multilateral Trading Facility (MTF)
- Organised Trading Facility (OTF)

Definition of Market Abuse under MAR

(3.3.1) UK Market Abuse Regulation (MAR)

A person commits market abuse where they:

- Engage, or attempt to engage, in **insider dealing***
- Recommend, or induce, another person to engage in **insider dealing**
- Unlawfully disclose **inside information**
- Engage, or attempt to engage, in **market manipulation***

Notes

- * Where insider dealing or market manipulation are committed by a legal person (e.g. a company), they are also committed by any natural person (e.g. a director) who participated in the decision
- The **bold terms** (above) are defined in the following slides

Definition of Insider Dealing under MAR

A person who is in possession of inside information uses that information:

- To acquire or dispose of financial instruments to which the information relates (whether it is for their own account or for a third party, and whether it is done directly or indirectly)
- To cancel or amend an order to which the inside information relates, where the order was placed before the person possessed the information

Such a person in possession of inside information may be any of:

- Director (or equivalent) of an issuer
- Shareholder of an issuer
- Access to the information through employment, profession or duties
- Access through criminal activities
- Knowing tippee

Definition of Inside Information under MAR

Inside information has the following elements:

- The information is **of a precise nature** (1)
- It has not been made public
- It relates directly or indirectly to one or more financial instruments
- If it were made public, it would be likely to have a **significant effect** (2) on the price of the financial instrument (or of a related derivative)

Notes

1. Information is ‘of a precise nature’ when it would enable a specific conclusion to be drawn about its effect on the price
2. Information would have a ‘significant effect’ on the price if it would be likely to be used by a reasonable investor to help in making a decision

Definition of Market Manipulation under MAR

Market manipulation comprises:

- False or misleading behaviour
- Behaviour which secures, or is likely to secure, the price of financial instruments at an abnormal or artificial level
- Deceptive behaviour
- Dissemination through the media, including the internet, of false or misleading information which the person knew or ought to have known was false or misleading
- Manipulation of benchmarks

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Market Abuse: Controls

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Control of Inside Information

(2.4.1) Disclosure of inside information

- Issuers must publish inside information as soon as possible
- The information must remain on the issuer's website for at least five years

Delaying disclosure of inside information

- Delaying disclosure is permissible if:
  - Immediate disclosure would prejudice the legitimate interests of the issuer; and
  - Delayed disclosure is not likely to mislead the public; and
  - The issuer can ensure the confidentiality of the information
- The FCA must be notified (and may ask for full written explanation)

Insider Lists

(3.2.4) Insider Lists

In outline, issuers and persons acting on behalf of issuers must:

- Maintain (and keep up to date) a list of persons with access to inside information (distinguishing between permanent and temporary insiders)
- Ensure that the persons on the list acknowledge, in writing, their duty of confidentiality (and are aware of the sanctions that apply)
- Remain fully responsible for the list, even where it is maintained by an adviser (e.g. an accountancy or legal firm)
- Keep the list for at least five years

Investment Recommendations

(3.3.1) Investment Recommendations

Persons producing or disseminating investment recommendations must take reasonable care:

- To ensure that the information is objectively presented; and
- To disclose their interests or indicate any conflicts of interest

Investment recommendations also include sales notes and re-dissemination of research.

Managers' Transactions

(3.2.11) PDMR Regime

Under MAR, transactions by PDMRs* and closely associated persons:

- Must be notified to the issuer and the FCA within 3 business days
- Must then be publicly announced by the issuer
- Transactions totalling up to €5,000 per calendar year do not need reporting
- 'Closed period' (= no transactions permitted) within the 30 days before the announcement of any interim (six-monthly) or year-end financial report

* PDMR = Person Discharging Managerial Responsibilities

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Market Abuse: Safe Harbours and Enforcement

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Safe Harbours

(3.3.1) Safe Harbours

This is the term used to describe behaviour which might have a direct or indirect effect on an issuer's share price, but which would not be subject to sanctions under the market abuse regime.

- **Safe harbours** include:
  - Acting in conformity with the UK MAR provisions on buy-back programmes and stabilisation
  - Acting in conformity with the FCA's rules on Chinese walls
  - Disclosures in accordance with the UKLA's Disclosure Guidance and Transparency Rules (DTR)
  - Disclosures in accordance with the Takeover Code's rules on disclosure during a takeover bid
  - Market soundings

Accepted Market Practices and STORs

(3.3.5) Accepted market practices

- No sanction would apply to any behaviour or transaction that conforms with an accepted market practice
  - Under EU MAR, these may be identified by competent authorities and are subject to the approval of ESMA

(3.3.2) Suspicious transaction and order reports (STORs)

- Firms (and operators of regulated markets, MTFs and OTFs) are required to report any suspicious transactions or orders to the FCA ‘in a timely manner’
- Note that this reporting obligation applies to unexecuted orders and requests for quotes, as well as to executed transactions

Enforcement of Market Abuse Regime

(3.3.6) Penalties for engaging in market abuse

Market abuse regime applies to **all market users**

FCA powers

- Public censure or statement of misconduct
- Unlimited fine
- Discipline firm for breach of High Level Principles or other provisions of the FCA Handbook
- Apply to civil courts for injunctions or restitution orders

Appeal to Upper Tribunal (Tax and Chancery Chamber) possible.

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Market Abuse: Examples of Market Abusive Behaviour

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Examples of Market Abusive Behaviour (1)

Insider dealing	Dealing on the basis of non-trading information. Dealing on the basis of takeover information.
Improper disclosure	Disclosure of insider information by a director in a social context. Selective briefing of analysts by directors.

Examples of Market Abusive Behaviour (2)

Manipulating transactions	Dealing to manipulate the closing price of an investment. **Wash trades**. Collusive transactions where there is no change in beneficial interest or market risk. **Painting the tape**. Entering into a series of transactions that are shown on a public display for the purpose of giving a false impression of activity or price movement. **Abusive squeezes**. Transactions or orders to trade intended to secure a dominant position over the supply of or demand for an investment. **Ramping**. Collusive acquisition of newly issued shares to generate market interest before selling out.

Examples of Market Abusive Behaviour (3)

Manipulating devices	Taking a position in an investment and then broadcasting an opinion about the investment (without disclosing one's interest), with a view to profiting from any subsequent price movement. **Pump and dump**. Taking a long position in an investment, talking it up and then reversing the position. **Trash and cash**. Taking a short position in an investment, talking it down and then reversing the position.

Examples of Market Abusive Behaviour (4)

Dissemination	Knowingly or recklessly spreading false or misleading information about an investment through the media. Undertaking a course of conduct in order to give a false or misleading impression.

Examples of Market Abusive Behaviour (5)

Misleading behaviour and distortion	The movement of physical commodity stocks, which might create a misleading impression as to the supply of, demand for, or the price or value of, a commodity or the deliverable into a commodity futures contract. The movement of an empty cargo ship, which might create a similar misleading impression.

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Disclosure and Transparency Rules

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How to Avoid Market Abuse or Market Distortion

Before announcement / bid

▼

Absolute secrecy

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Announcement of inside information / bid

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After announcement / bid

▼

Full, fair and immediate disclosure

Notification of Major Shareholdings (DTR 5)

(3.2.7) Notification Rules

Which shareholdings do the rules apply to?

- Holdings in any company with shares traded on a regulated market (e.g. main market of LSE) or a prescribed market (e.g. AIM)

What is a notifiable interest?

- Holding of 3%+ (by reference to ability to exercise voting rights)
- Ongoing notification required for changes of 1%+ (up or down)
- Voting agreements between 2+ shareholders: Aggregate holdings

To whom is notification made?

- The company (which then makes public disclosure via an RIS), and to the FCA

What is the time limit for notification?

- Two trading days (and disclosure by company to RIS by next trading day)

Notification of Major Shareholdings (DTR 5)

(3.2.7) Notification Rules – exceptions from notification requirements

- Holdings of investment managers (working under written agreement) and CIS operators
  - Notification thresholds (%): 5, 10, 15, 20, 25, 30, 50, 75
- Holdings of market makers (acting as such)
  - Notification threshold: 10% (and 1%+ changes above 10%)
- Stock loans
  - No notification (so long as borrower does not exercise voting rights)

Company law provision: Enquiries by company under CA 2006, s.793

- Applies to all PLCs
- Can backdate up to three years
- 10% shareholders may also initiate enquiry
- Criminal penalties (two years in jail +/or fine)
- Company sanctions (with court approval)

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The Takeover Code

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Takeover Code

(3.1.2) The Takeover Code

Background

- 1960s: Growth in number/size of bids
- 1968: Bank of England ‘City Code’ >

  Panel on Takeovers and Mergers ‘City Code’ >

  Takeover Panel ‘Takeover Code’

Aim of Takeover Code

- ‘Fair play’ (importance of ‘spirit’)

Application of Takeover Code (status of target company only)

- Residence status: UK, CI, IOM
- Legal status: ALL PLCs

Takeover Code: Enforcement/Sanctions

Statutory powers of the Takeover Panel under CA 2006

- Make rules for takeover bids and implement them
- Require the production of documents/other information
- Give formal directions to secure compliance with rules
- Make orders for payment of compensation for breaches of rules
- Impose sanctions for breaches of rules/failure to comply with directions (but no power to impose a fine)
- Bring an action to recover unpaid Panel fees
- Litigate in its own name
- Apply to the court where rules have been (or may be) breached (and court may make such order as it sees fit to remedy position)

Takeover Code: Six Principles

(3.1.3) The Six Principles of the Takeover Code

1. Equivalent protection for all shareholders of target
   - If control (30%+) held, other shareholders must be protected
2. Shareholders of target must have sufficient time and information to decide
   - Board of target must give its views on effects of bid
3. Board of target must act in interests of the company as a whole
   - No frustrating action (e.g. ‘poison pills’)
4. No creation of false markets
5. Bid only if can meet cash (and any other) consideration in full
6. No undue hindrance (excessive time) in conduct of target’s affairs

38 Detailed Rules [Knowledge of rules not required for the exam]

Takeover Code

(3.1.2) The Takeover Code

Advantages of the Takeover Code

- Flexible/adjustable
- Advance consultation possible
- Speedy decisions
- Adherence to principles
- Involvement of practitioners
- Non-statutory language

Takeover Code: Enforcement/Sanctions

Takeover Panel Sanctions

- Private reprimand or public censure
- Reporting offender to regulator (e.g. FCA) or professional body (e.g. Law Society, ICAEW)

FCA Sanctions

- ‘Market conduct’ principle
- ‘Cold shoulder’ provisions
- Normal statutory powers over authorised persons
- Market abuse powers (if relevant)

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The Listing Rules

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Listing Rules (UKLR)

(3.2.3) The Listing Principles

- **FCA regulates UK regulated markets – 'FCA Primary Market Functions'**
- **Listing Principles (for all listed companies)**

1. Establish and maintain adequate procedures, systems and controls to comply with its UKLR obligations
2. Deal with the FCA in an open and cooperative manner
3. Directors must understand their responsibilities and obligations
4. Act with integrity to holders (and potential holders) of its listed securities
5. Treat all holders of the same class of its listed equity shares equally
6. Communicate information to holders (and potential holders) of listed equity shares to avoid creation of false markets in those shares

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The UK Corporate Governance Code

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UK Corporate Governance Code (UK CGC)

What is ‘corporate governance’?

- The structure of rules, practices and processes used to direct and manage a company
  - Systems by which a company is directed and controlled
  - Processes by which company objectives are established, achieved and monitored
  - Relationships between (and responsibilities of) the directors, managers, shareholders and other relevant stakeholders – all within a legal and regulatory framework

What is the general purpose of the UK CGC?

- Sets out standards of good practice in relation to:
  - Board composition and development
  - Accountability and leadership of directors
  - Remuneration of directors
  - Controls and audit
  - Relations with shareholders

UK Corporate Governance Code (UK CGC)

Who does the Code apply to?

- All companies with a Premium Listing of equity shares
- ‘Common Platform’ firms (regulated firms subject to SYSC)
  - The FCA will give the firm due credit for following relevant provisions in the UK CGC

Who is responsible for the Code?

- FRC* – text, interpretation and development of the Code
- FCA – day-to-day supervision of listed companies’ compliance with the Listing Rules (and so therefore also CGC)

**Financial Reporting Council, expected to be replaced by a new regulator called ‘Audit, Reporting and Governance Authority’ (ARGA) in the near future*

UK Corporate Governance Code (UK CGC)

Disclosure requirements (‘comply or explain approach’)

- Companies subject to the Code are required to make a two-part disclosure in their annual reports:
  - A statement of how it has applied the main principles set out in the Code
  - A statement as to whether it has complied with all Code provisions, and if not:
    - Which provisions it has not complied with
    - The company’s reasons for non-compliance

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Environmental, Social and Governance Considerations

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Climate Financial Risk Forum (CFRF)

(3.8.1) What is the Climate Financial Risk Forum?

- Climate change presents financial risks and opportunities relevant to both firms, and to the objectives of the FCA and PRA
  - CFRF objective is to:
    - Build capacity and share best practice across financial regulators and firms
    - Bring together senior representatives from firms across the financial sector

CFRF Guide

- CFRF Guide to climate-related financial risk management
  - Risk management
  - Scenario analysis
  - Disclosures
  - Innovation

FCA ESG Strategy

(3.8.2) FCA ESG strategy

- The FCA ESG strategy has five core themes
  - **Transparency –** along the value chain
  - **Trust –** integrity regarding ESG-labelled instruments and products
  - **Tools –** supporting firms' management of ESG risks, opportunities and impacts
  - **Transition –** supporting the role of finance in transitioning to a more sustainable economy
  - **Team –** integrating ESG into the FCA's own activities

FCA sustainability disclosure requirements

- Helping consumers navigate the sustainability characteristics of financial products by requiring firms to make disclosures
  - Entity level
  - Product level

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Money Laundering: Concepts

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Money Laundering

(3.4.1) The money laundering process

- Money laundering seeks to separate assets from their illegal origin
  - The act of making ‘dirty’ money appear ‘clean’
  - A derivative crime, involving laundering the proceeds of another criminal activity, known as a **‘predicate offence’**
  - Money laundering not confined just to ‘money’; covers any property

1. Placement:

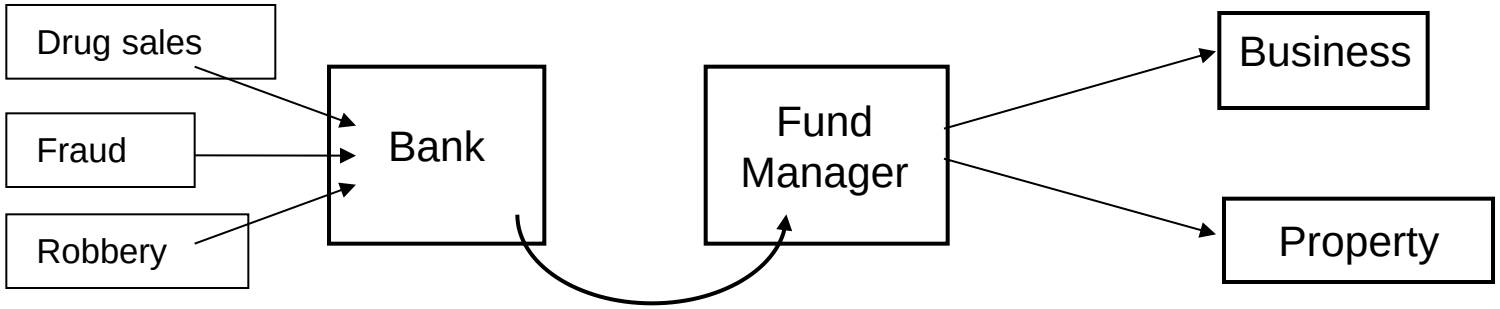
Proceeds of **any** predicate crime are placed into the financial system

2. Layering:

Money is transferred from the bank and used to buy different investments to cover the audit trail

3. Integration:

The money is returned to the criminal from what appears to be a legitimate source



Money Laundering

(3.4.1) Regulatory framework

Proceeds of Crime Act 2002 (POCA 2002)

▼

ML Regulations 2017 (MLR 2017)

▼

Joint Money Laundering Steering Group (JMLSG):

Guidance Notes

▼

FCA Handbook:

SYSC

Money Laundering

(3.4.2) Proceeds of Crime Act 2002

- POCA 2002 establishes offences relating to money laundering
  - Concealment (max. 14 years/unlimited fine)
    - Conceal, disguise, convert, transfer, or remove criminal property from the UK
  - Arrangements (max. 14 years/unlimited fine)
    - Entering into arrangements to facilitate the acquisition, retention, use or control of criminal property
  - Acquisition, use and possession (max. 14 years/unlimited fine)
    - Requires knowledge or suspicion that the property is criminal
  - Prejudice an investigation (max. 5 years/unlimited fine)
    - For example, destroying or altering records, or lying to the police
  - Failure to disclose (max. 5 years/unlimited fine)
    - Not disclosing knowledge or suspicion that money laundering is taking place
  - Tipping-off (max. 2 years/unlimited fine)
    - Letting a third party know that a SAR has been made, or is being considered

Money Laundering

(3.4.3) European Union Money Laundering Directives

- Fourth Money Laundering Directive (4MLD)
  - Requires risk based approach
  - Extends definition of PEPs to include domestic politicians
  - Requires firms to record beneficial owners
  - Includes tax crimes as predicate offences
- Fifth Money Laundering Directive (5MLD)
  - Adds legal definitions of virtual currencies (‘cryptocurrencies’)
  - Limits prepayment card usage to €150 without ID, and €50 for online transactions
  - High-value goods traders require adequate KYC for transactions above €10,000
  - Public lists of beneficial ownership, and politically-exposed public functions
- Sixth Money Laundering Directive (6MLD)
  - Predicate offence list harmonised; cybercrime and environmental crime added to list
  - Adds offence of aiding and abetting money laundering
  - Extends criminal liability to legal persons
  - Increases minimum penalties for those found guilty of ML offences

Money Laundering: FCA and FATF

(3.4.5) FCA Handbook

- AML/CTF provisions included in SYSC
- It is the firm's responsibility to decide upon (and then to establish and maintain) appropriate systems and controls to meet AML/CTF requirements
  - JMLSG Guidance Notes have Treasury approval
- MLRO to make annual report on AML/CTF systems to the board

Financial Action Task Force (FATF)

- Part of OECD (Organisation for Economic Co-operation and Development)
- Publishes list of 'non-cooperative countries' (e.g. Iran, North Korea)
- Firms must take care when dealing with customers in those countries

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Money Laundering: Controls and Red Flags

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Money Laundering

(3.4.3) Main MLR 2017 requirements

1. Internal controls, policies and procedures
2. Identification procedures
3. Record keeping
4. Recognition and reporting of suspicious transactions
5. Education and training

Money Laundering

(3.4.3) Main MLR 2017 requirements

1. **Internal controls, policies and procedures**
   - Establishment of procedures for identification and reporting
   - Appointment of MLRO (also known as the Nominated Officer)
   - Liaison and cooperation with NCA

2. **(A) Identification procedures – when?**

Required	Not required
* ML known/suspected	* Deal with UK/EU credit/financial institution
* New business relationship	* Intro from FATF, J, G, IOM (one-off)
* Transaction/series ≥ €15,000	* Bank transfer/cheque from personal a/c

Money Laundering

(3.4.3) Main MLR 2017 requirements

2. (B) Identification procedures – how?

Individuals

– UK-resident	Face-to-face	* Personal documents
	Not face-to-face	* Public documents
– Not UK-resident	Face-to-face	* Personal documents
	Not face-to-face	* Local reference

Businesses

– UK quoted **or** UK U/Q + Known directors/partners	* No special procedures
– UK U/Q + Unknown directors/partners	* Audited accounts/cert of incorporation Checks on directors/partners
– Overseas	* As above, but special care (e.g. Russia, Nigeria, Colombia)

Money Laundering

(3.4.3) Main MLR 2017 requirements

3. Record keeping

- Retention of relevant records (identity checks, etc.): Five years
- Full details of transactions and counterparties
- Special care with bearer securities

4. Reporting of suspicious transactions

- Individual employee → MLRO → NCA

5. Education and training

- Training appropriate to experience/responsibility of employee
- Need to be aware of personal liability (and penalties)

Money Laundering: Red Flags

1. Circumstances warranting enquiry

- Personal client
  - Verification of identity difficult
  - Reluctant to provide details
- Corporate/trust client
  - Difficulties/delays in obtaining accounts/documents of incorporation
- Client with no discernible reason for using firm's services
  - e.g. Distant/abroad and other equivalent firms are closer
- Investor introduced by overseas bank (or other investor) – both based in countries where drug trafficking prevalent

Money Laundering: Red Flags

2. Unusual dealing patterns

- Large number of transactions across a number of jurisdictions
- Transactions not in-keeping with investor's normal activity
- Buying and selling with no discernible purpose (e.g. churning at the client's request)
- Low-grade securities bought overseas and then sold in UK, and high-grade securities bought with proceeds
- Bearer securities held outside a recognised custodial system

Money Laundering: Red Flags

3. Abnormal transactions

- A number of small transactions in the same security (each purchased for cash) and then a single sale and transfer of the proceeds to a different account
- Any transaction where nature/size/frequency appears unusual (e.g. early termination of packaged products at a loss)
- Transfer of investments to an apparently unrelated third party
- Transactions not in-keeping with normal practice in the market
- Linked transactions which could be designed to disguise the ‘audit trail’

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Terrorist Financing

Knowledge | Skills | Conduct

Terrorist Financing

(3.4.8) Money laundering and terrorist financing (TF)

- Terrorism
  - Violence or fear of violence by organised groups, generally aimed at civilians
  - Aimed at compelling a government to change policies or actions
  - Faith- or religion-based, ideological, political, ethnicity etc. goals
- Money used in terrorism
  - Terrorist funding – collection of funds for terrorist groups
  - Terrorist financing – movement of money by terrorists to undertake specific operations
- Difference between money laundering and terrorist financing
  - Money laundering – taking ‘dirty’ money and making it ‘clean’
  - Terrorist financing – taking ‘clean’ money and making it available for ‘dirty’ purposes
  - Obviously these often overlap, but they are not the same thing
  - TF typically involves far smaller sums of money than money laundering
  - TF can be from legitimately obtained income

Terrorist Financing

(3.4.8) Terrorist Financing Legislation

Terrorism Act 2000/Anti-Terrorism, Crime and Security Act 2001

- Covers use, or threat, of terrorism anywhere in the world
  - Main point for firms: Obligation to disclose knowledge or suspicion of money laundering of terrorist property (via MLRO/NCA route)
  - Maximum penalty for non-disclosure 5 years/unlimited fine

Counter-Terrorism Act 2008

- Extended CFT enforcement powers for HMT:
  - Power to direct CDD and monitoring
  - Require information from firms without a court warrant
  - Impose directions on firms in a wide range of situations

Criminal Finances Act 2017

- Further extended AML and CTF civil recovery and enforcement powers

FitchLearning

UK Bribery Act and Data Protection

Knowledge | Skills | Conduct

UK Bribery Act 2010

(3.5.1) Bribery Act 2010: Offences

- s1: Bribing another person ('active bribery')
  - Offering, promising or giving a financial or other advantage to another person
  - Intent to induce or reward the other person for improper performance
- s2: Receiving bribes ('passive bribery')
  - Requesting or accepting a financial or other advantage from another person
  - Intent that, in consequence, a relevant function or activity will be performed improperly
- s6: Bribery of a foreign public official
  - Intention to influence a foreign public official to obtain or retain business, or an advantage in the conduct of business
  - Unlike offences defined in sections 1 and 2, there is no requirement to show improper performance

Penalty (maximum): 10 years in jail and unlimited fine

UK Bribery Act 2010

(3.5.1) Bribery Act 2010: Bribery prevention

- s7: A relevant commercial organisation is guilty of an offence if a person associated with the organisation bribes another person (s1 or s6)
  - Management must clearly understand, and take steps to control, the risk of bribery
  - Senior company officers (e.g. directors) who encourage, or turn a blind eye, to such bribery are also **personally** liable
- The Six Principles indicate requirements for an ‘adequate procedures’ defence
  1. Proportionate procedures
  2. Top-level commitment
  3. Risk assessment
  4. Due diligence
  5. Communication (including training)
  6. Monitoring and review
     - Principles are flexible to allow a risk-based approach to bribery risk management

Data protection law

(3.7.1) Data protection

- EU General Data Protection Regulation (GDPR)
  - Harmonises data privacy laws and protects European citizens from privacy and data breaches
  - Applies to all companies processing the personal data of data subjects residing in the EU, regardless of the company's location
- UK Data Protection Act 2018
  - Has wider coverage than GDPR
  - Regulated and enforced by the Information Commissioner's Office (ICO)